

EXECUTIVE SUMMARY

Decoding Customer Value: A SQL-Driven Retention Strategy

D2C Fashion Brand | Customer Intelligence Report

Business Question

Is this brand building a loyal customer base — or dependent on continuous promotional activity?

Answer. Fundamentally healthy, but sitting on a hidden risk.

Key Performance Metrics

\$231K

Total Revenue

3,863

Total Customers

57.96%

Organic Revenue

\$20K

At Risk Revenue

7.49

LTV Gap

01 Majority revenue is organic — but risk exists

57.96% (\$133,670) from Pure Organic Loyalists who never used promo. 333 High-Risk Promo Addicts = only 8.52% revenue — expensive to retain, likely to churn if discounts stop.

02 Customer value is highly concentrated

Top 24.93% High-Value customers (963) generate \$76,871 with avg LTV \$3,210 — nearly 7.5x the Low-Value segment (\$428). Brand growth depends on protecting this tier.

03 Two loyalty definitions tested — Def A wins

Def A (Organic+Frequency): 1,529 truly loyal customers, avg spend \$2,047. Def B (Monetary) identifies 1,735 but includes promo-dependent buyers. Def A chosen — correlates with genuine brand affinity, not discount behavior.

04 Geographic opportunity untapped

Kansas (77.8% organic), Connecticut (70%), Tennessee (66.7%) show high organic demand with low promo dependency — commercially underlevered, ready for expansion without discounting.

05 Category behavior is brand-driven, not category-driven

All 4 categories show ~49% retention power and ~25 day tenure. Customers are loyal to the brand, not specific categories. Entry-point by volume: Clothing (345 new orders).

Strategic Recommendation: Sunset discounts for High-Risk Promo Addicts. Protect Organic Loyalists. Target Kansas, Connecticut & Tennessee for organic growth campaigns.